The Role of Islamic Financial Systems and Banking Institutions in Global Economic Recovery

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ABSTRACT

The Islamic financial system is explored in this research. The banking system, money market, insurance (*takaful*), and capital markets are included. Muslims throughout the GCC countries and North Africa have used Islamic finance to lend money for business start-ups and other personal goals. According to Shariah, the core idea of Islamic finance prohibits the establishing or taking of specified interest or fees, often known as *Riba* or usury. *Haram*, which means "forbidden" in Arabic, is a Muslim principle that has been accepted by Islamic banks, financial institutions, and non-profit organizations. *Shariah* law is Islam's legal system, based on the Quran and the decisions of Islamic scholars. It serves as a code of behavior for modern Muslims, ensuring they follow God's will in all aspects of life, from everyday routines to personal convictions. Profiteering lending is prohibited in Islam. Therefore, they devised Islamic transaction principles to avoid problems (*Fiqh al-Muamalat*). Sharing profit and loss (*Mudharabah*), protecting (*Wadiah*), forming a joint enterprise (*Musharakah*), cost plus (*Murabahah*), and leasing are all options for getting around the prohibition (Ajar). As a result, Islamic finance is founded on *Shariah* or Islamic law. *Shariah* Law is based on the Prophet Muhammad's teachings and is based on the *Qur'ān* (Islam's sacred scripture). The bonds are debt-based instruments, whereas the *Sukuk* is asset-based ownership. The Islamic financial system's prohibition on *Riba* instantly removes bonds and the debt market. Hence, the Islamic financial system simply being "interest-free" does not provide a correct picture of the system and tends to create confusion.

Keywords : Economic, Islamic Banking, Islamic Finance, Riba, Shariah Law

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1. INTRODUCTION

Shariah, an Arabic phrase that means "Islamic law," is the foundation of Islamic finance. *Shariah* provides standards for all elements of Muslim life, including religion, politics, economics, banking, commerce, and law (Silva, 2006). The Islamic financial system is a set of rules and regulations that control Islamic countries' economic, social, political, and cultural aspects, collectively known as Shariah. The basis of *Shariah* is the *Qur'ān* (Islam's central divine source) and its practices and interpretations, known as the Prophet Muhammad's Sunnah. The Islamic financial system is not merely "interest-free." an accurate view of the entire system. Similarly, the Islamic financial system is based on the outright ban on paying or receiving any fixed, guaranteed rate of return (Iqbal, 1997). According to Ilias (2010), Islamic finance is based on *Shariah* principles, or "Islamic law," including a prohibition on interest, a ban on contractual uncertainty, adherence to risk-sharing and profit-sharing, and the promotion of ethical investments that benefit society, and asset-backing. Despite its small share of the global financial system, Islamic finance has grown tremendously.

The International Monetary Fund (IMF) member countries have increased their Islamic banking penetration. It has gained traction in Asia and the Gulf Cooperation Council (GCC) countries, while worldwide, *Sukuk* issuance — the Islamic equivalent of bonds – is rising, with issuers and investors worldwide. The trend is expected to continue, owing to strong economic growth in countries with large Muslim populations, primarily unbanked (IMF, 2016). Islamic financing has increasingly moved to countries with smaller Muslim populations. Some European and other nations overhaul their tax, legal, and regulatory frameworks to promote Islamic investments. In the United States, Islamic finance is a small but growing industry.

Islamic banking is widely accepted to survive in our society and coexist with standard Western banking. There are several reasons have contributed to the emergence of Islamic banking in Australia: 1) Muslims can be confident that Islamic banks are risk-free; 2) They have lost half of their company's value; and 3) In Islamic and non-Islamic economies, Islamic financial institutions are thriving. This has been proven in the Australian context. Islamic banks are practiced in more than fifty countries today, including Western countries. Bahrain, Bangladesh, Brunei, Iran, Malaysia, Pakistan, Saudi Arabia, and Sudan are Muslim countries that adhere to Sharia Law in various regions. Other Islamic societies are increasingly concerned about the relationship between religion and banking, financial, and insurance activities. It mainly constitutes legal Islamic Financial and economic activity. Muslims are one of Australia's many minorities. The dissatisfaction of the Islamic community with the Western financial system and alternatives known as Islamic banks. One of the main differences between the Western and Islamic financial systems is the use of interest (*riba*)**.** This is the basis of the Western financial system but is prohibited by Islamic rules governing financial transactions (Mirza and Halabi, 2003). The majority of financial systems in the GCC countries are bank-based.

The banking and finance sectors have traditionally been strongholds of the country. Saudi Arabia, the United Arab Emirates, Bahrain, Kuwait, Oman, and Qatar are the GCC members. It includes an overview of the growth of individual GCC countries' banking systems and financial markets, a look at the performance of Gulf banks, and a synopsis of current initiatives to build a GCC economic and monetary union. The GCC has undertaken financial reforms to enhance its economic systems. As a result, commercial banks dominate the GCC financial systems, resulting in highly consolidated banking industry. Gulf banking systems are thought to have increased asset quality.

Allah is dominant over the entire parallel economy. The industry's average yearly growth rate is between ten and fifteen percent. According to statistics, conventional banks such as Citibank and HSBC have opened Islamic "windows" in the GCC countries, but the industry's market share remains limited, because the Islamic scholars believed that the financial system was superior, lending was more careful, and financiers were encouraged to invest directly in an entrepreneur's enterprise (Molyneux and Iqbal, 2005). The Muslim countries trumpet the potential role of the Islamic financial system of intermediation in contributing to Gross Domestic Product (GDP) growth and financial stability due to an ethics-based ban on speculative activities at regional or national platforms and their assertive leadership in global Islamic banking.

The global financial crisis — unsecured speculation based on greed, indebtedness, lack of adequate regulation, and low savings — while eulogizing the Islamic financial system, which emphasizes transactions backed by real assets and low savings. Interest rates have a detrimental influence on Islamic banking because interest rates serve as an implicit benchmark for Islamic banks. However, the quality of institutions is unimportant, most likely because *Shariah* law's typically higher bar overrides the quality of local institutions in most countries (Imam and Kpodar, 2010). One of the main causes of these crises is the lack of proper market discipline in the financial system. This leads to excessive lending, high levels of debt, and ultimately a crisis. Moreover, liquidation creates a vicious circle that feeds itself, leading to sharp declines in asset prices, bank failures, and economic slowdowns (Chapra, 2008).

According to Illias (2010), the core *Shariah* rules apply to finance and differ from conventional finance.

1. Interest ban (*Riba*) refers to traditional forms of finance that differentiate between acceptable and usurious interest (i.e., excessive rates of interest). Interest is considered usury in Islamic law and is prohibited. Some people wonder how Islamic law allows lenders to benefit from financial transactions. In the real estate industry, *Shariah*-Compliant Financing (SCF) takes the form of leasing rather than loans. Instead of lending money to a prospective buyer, the bank acquires the property and leases it to the shore-compliant investor, who pays rent rather than interest.

2. The prohibition of uncertainty in contractual terms and conditions refers to the requirement that all parties properly understand all risk terms and conditions of a financial transaction.

3. Risk-sharing and profit-sharing refer to the need for all participants in a financial transaction to share risk and profit equally (Jobst, 2007). Profit or asset returns are accepted as long as the lender and borrower share the business risks.

4. The *Qur'ān* forbids ethical investments linked to a "tangible, recognizable underlying asset," like real estate or commodities (NBAR-IFO, 2008). Money is not classified as an asset under *Shariah* since it is intangible and may not provide a return.

Islamic financial norms must be fully and completely implemented in the GCC countries by Islamic tradition or practices. *Shariah* is commonly subject to interpretation, and some Islamic experts disagree over what constitutes *Shariah*-compliant financing (SCF). Islamic financial markets vary in age, with some sectors well-established and others still in their infancy, uniformity may be difficult (Y-Sing and Richter, 2010). Hence, these *Shariah* concepts are essential for Islamic banking experts, financial institutions, non-profit organizations, business professionals, Islamic finance and banking Managers, Dean of Academics, professors, students, the general public (Muslim community), Researchers, and future researchers.

2. PRINCIPLES OF ISLAMIC FINANCE

Islamic finance is governed by Islamic law and principles. Islamic beliefs forbid the payment and receiving of interest (*riba*). Contracts, including speculation (*maysir*) and uncertainty (*gharar*), are considered void in Islamic finance. In Islamic finance, there are equity-like and debt-like financing mechanisms. Murabaha, ijarah, salam, and istisna'a are fixed claim instruments. A *Sukuk* is a Shariah-compliant asset-backed trust certificate (bond) that represents an asset's ownership or usufruct (earnings). *Mudarabah* and *Musharaka* are two equity products. In *Mudarabah*, one partner makes a fixed investment (*Rabb ul Maal*) in the firm, which is operated and managed by another partner (*mudarib*).

According to Kumar (2014), *musharakah* is a partnership arrangement in which profits and losses are shared. The typical *musharakah* principle is that each partner has the right to engage and work in the administration of the business. However, partners can agree on one condition: one partner will operate the business while the other will not work for *musharakah*. The sleeping partners, however, can only win up to the amount spent in this situation. The profit allocation does not exceed the investment allocation, as previously stated. Assume that all of the partners agree to form a joint venture. As a result, each partner is considered the other's agent in all business affairs, and any work done during the regular business is presumed to have gained agreement from all partners (Usmani, 1998).

Islamic finance is governed by *Shariah* rules based on *Islamic law*. *Islamic* finance is used to establish that it follows Shariah principles, giving I*slamic* debt borrowers and issuers access to *Islamic* institutions and resulting in a much broader investment base. They currently have a successful track record of *Shariah*-compliant project finance. Unsurprisingly, *Islamic* financing is a significant source of funding for the Middle East project finance sector, with structured *Islamic* finance employed in many of the fascinating oil and gas project finance deals.

2.1 Islamic Structural Instruments

Islamic finance has some distinct characteristics that must be considered when utilizing this type of financing in a project. *Shariah* is a complicated set of laws, rules, and regulations. It is impossible to elaborate on in this text, but it is critical to understand the underlying principles of *Shariah*-compliant finance.

The following summarizes the most important Islamic structural instruments for project finance (Clews, 2016; Lipson et al., 2019; Archer et al., 2009).

2.1.1. Musharaka

Musharaka is one of the oldest forms of Islamic finance. Under this arrangement, a bank and a customer become joint owners of a new project. One classic example of how this can work is with a mortgage. The bank gradually transfers real estate ownership to the other party in exchange for a pre-agreed set of payments.

2.1.2. Mudaraba

Bank deposits are usually under a M*udaraba* structure, although they can use them for other ventures. One party, in this case, the depositor/investor, provides the capital to the other with technical abilities. The depositor/investor gets a share of the profits in exchange for the cash.

2.1.3. Istisna

A procurement contract whereby a buyer makes the payment for goods to be delivered at a later date. In project finance, an Istisna'a structure is used to finance the construction period. In project finance, an Istisna structure is used to finance the construction period. The Islamic financiers appoint the borrower as their agent to procure the specific project assets invested Islamically.

2.1.4. Ijara

In a lease agreement, one party is granted the "right to use" the property in exchange for rent payment. The *Ijara* structure is typically used in the operational phase of project finance and the Istisna structure during construction. Leases, whether operating or financial, are conducted using an *Ijara* structure. The asset sold, such as an aircraft, will be sold by the manufacturer and then leased by the finance company to the lessee.

2.1.5. Wakala

An agency contract in which the Wakil acts as an agent for the financier. A W*akala* is a structure that utilizes the idea of principal and agent theory. The principal provides the capital, and the agent is hired to provide expertise and labor. Under a W*akala*, the capital provider receives the profits from the venture, less an agreed-upon fee to pay the agent. Bank deposits can also be structured as a W*akala*.

2.1.6. Suksuk

The Islamic bond equivalent is where the investor owns a share in the underlying asset rather than a debt claim. The *Sukuk* structure has been used in several project finance transactions in the Middle East. *A Sukuk* is a form of Sharia-compliant bond or fixed-income security. These equal-value shares, which have a life of up to 15 years, can typically be traded. They are not technically bonds but represent a stake in the company's underlying assets.

2.1.7. Murabaha

A credit sale agreement specifies an agreed profit between a financier and a client in a sale and purchase contract. *Murabaha* is a common form of financing in the Islamic world. It involves the sale of an asset, such as a machine, via a middleman. The buyer agrees with the middleman to make a stream of deferred payments, including an agreed markup. *Murabaha* appears similar to buying a car on credit from a finance company.

2.1.8. Takaful

According to scholars, conventional insurance isn't allowed in Islamic finance because it doesn't have mutually shared risks. Instead, a *takaful* structure is used. It involves participants contributing to a fund, which is then managed by a *takaful* operator who pays the claims and manages the assets. Unlike conventional insurance, the risks of a *takaful* structure are shared between all participants (not just the insurance company). Also, the participants own the assets and collectively have responsibility for the liabilities. The *takaful* participants, not the insurance company, own the profits. *Takaful* is a way to provide Muslims and the developing economies of many countries with a majority Muslim population with the social and economic advantages of contemporary insurance in a way that is consistent with their religious beliefs.

2.1.9. Salam

Salam originated as a way for farmers to finance their crops. These contracts involve lenders extending credit in exchange for being allowed to buy the produce at a stipulated discount in the future. However, unlike in the traditional futures markets, the *salam* contract cannot be sold or assigned. That makes it hard for the bank or the farmer to hedge against the risk of price movements. Therefore, the parties enter into parallel *salam* contracts with banks to solve that problem. These parallel contracts involve the bank selling the commodities at a premium price.

2.2 Islamic Finance Perspective

The ideal is not unique to Islam, and its practice is not limited to Islam. Just as monotheism is not unique to Islam, the underlying ideas of "Islamic finance" and the "Islamic economy" (including the ban on Riba and the pursuit of economic justice) are not necessarily unique to Islam. Other faiths, such as Islam, Judaism, and the two Abrahamic traditions that preceded Christianity, should not be compared to Christianity. Moreover, Islamic financial practices are not exclusive to Muslims. Non-Muslims work in Islamic finance in various roles, including entrepreneurs, business partners, professionals, investors, clients, and thought leaders. Although it is not unique to Islamic finance, risk-sharing is emphasized in this field. Mutual insurance companies such as Royal London were established before the arrival of modern Islamic finance, independent of Islam (Hayat and Malik, 2014).

2.3 Islamic Finance - Common Misconception

The authors also highlight common misconceptions regarding Islamic finance (Hayat and Malik, 2014). These include the following:

1. Muslims and Islamic finance are monoliths that correspond to generalization.
2. Modern Islamic finance is a relatively old and mature industry.
3. Muslims generally understand the theory and practice of Islamic finance and follow it in their financial life.
4. Islamic finance is actively government-backed in most Muslim-dominated countries.
5. The wealth of Islamic finance tends to be higher than traditional finance in most Muslim-dominated countries.
6. Shariah law applies to all Muslim-dominated countries, and Islamic financial transactions are controlled solely by *Shariah*.
7. Islamic finance is not open to non-Muslims.
8. Islamic finance is primarily a philanthropic activity, not a commercial activity.
9. Islamic finance includes illegal activities such as money laundering and terrorism financing.
10. Forbidden Riva is the same as interest.
11. Islamic finance is recession-resistant and unaffected by unethical practices.
12. The Islamic financial industry is widely believed to be Islamic in form and content.

2.4 The Benefits of Islamic Finance

Islamic finance, one of the world's fastest-growing financial systems, is now a multibillion-dollar industry. The following are the primary benefits of the Islamic financial model (Ayub, 2021):

1. Financial justice is the principle of economic justice that underpins Islamic finance. Islamic finance promotes a profit-and-risk-sharing strategy, while western financial systems emphasize profit through interest- and risk-based models. Therefore, economic justice is central to any Islamic finance product or service.
2. Accelerating is a growing economy: due to less risk and uncertainty in the Islamic finance structure, investors, individuals, and businesses are more likely to see growth.
3. Financial institutions and investments are more stable thanks to Islamic finance, which encourages investments and transactions with significantly lower risk than traditional investment models. Islamic finance is structured to avoid destabilization and debt-deflation, leading to more stable economic conditions.
4. Financial inclusion is perhaps one of the lesser-discussed benefits of Islamic finance, but it is an important issue. Muslims seeking a financial structure that complies with Sharia law and non-Muslims looking for an alternative, moral method of handling money can access Islamic finance.

3. PRINCIPLES OF ISLAMIC BANKING

The best-known feature of Islamic banking is the prohibition on interest. The Qur'an forbids the charging of *Riba* on money lent. Therefore, it is important to understand certain principles of Islam that underpin Islamic finance. The Shari'ah consists of the Qur'anic commands as laid down in the Holy Qur'an and the words and deeds of the Prophet Muhammad. The *Shari'ah* disallows Riba, and there is now a consensus among Muslim economists that Riba has not restricted to usury but encompasses interest. The Qur'an is clear about the prohibition of *Riba*, which is sometimes defined as excessive interest. According to several Qur'anic passages, Muslim scholars have agreed, "Fear Allah and give up the last of your demand for usury if you are true believers" (Super User, 2018). Islam sets values and goals that meet all human life's economic and social needs. Islam is a religion that not only focuses on success in the afterlife but also fully organizes one's life. Islamic law is known as Shariah, which means "freeway." The current banking system is based on banned financial elements that violate Islamic banking principles. Here are seven principles of Islamic finance and banking.

3.1. Profit and Loss Sharing

This is one of the core concepts of Islamic finance, where partners share profits and losses based on their investment in the company. However, due to the reward size, there is no guarantee that Muslims will act as partners rather than creditors. Profit and loss sharing refers to sharia-compliant equity financing methods like musharakah and *mudarabah*. Most Muslims adhere to a religious restriction against borrowing interest, which is respected by these systems. While *Musharakah* refers to an equity participation arrangement, Mudarabah refers to "trustee finance" or a passive partnership deal (Khan, 2015). Profits and losses that are shared in profit-and-loss sharing are those of a company or individual that has capital from an Islamic bank or financial institution (the terms "debt," "borrow," "loan," and "lender" are not used). The capital provider receives a certain percentage of the earnings (or subtracts them if there are losses) together with the principle of the financing when it is returned.

3.2. Shared Risk

Islamic banks encourage risk-sharing in commercial transactions. When many parties share a risk-based on Islamic banking principles, the risk load is shared and reduced. As a result, the country's economic activity will increase. Shari'ah, or Islamic law, defines Islamic finance as the belief that the risk of economic ventures should be borne equally by the provider of capital and the user of money, whether such enterprises be businesses, farms, service corporations, or simple trade operations. In other words, the depositor, the bank, and the borrower should share the risks and gains of backing business ventures. In contrast, the borrower carries all the stakes in the interest-based commercial banking system. Whether his endeavor succeeds or fails, he must repay his loan with the agreed-upon interest.

3.3. Riba

Riba is a concept in Islam that broadly refers to growth, increasing, or exceeding, which forbids interest credited from loans or deposits. The term "*riba*" has also been roughly translated as the pursuit of illegal, exploitative gains made in business or trade under Islamic law, akin to usury. It is analogous to the interest ban: wealth reaps the advantages without risk or work. Regardless of the outcome of economic activities, the individual who obtains the loan must repay the lender the money and *riba*.

Riba is an Islamic notion that refers to the concept of growth, increasing, or exceeding, and it prevents the crediting of interest from loans or deposits. The pursuit of illicit, exploitative gains in commerce or trade under Islamic law, analogous to usury, has also been loosely translated as "*riba*." It is akin to the interest prohibition in that wealth reaps the benefits without risk or effort. Regardless of the outcome of economic activity, the person who takes the loan must refund the money and *Riba* to the lender. According to Islamic financial standards, taking advantage of other people's misfortunes is unfair. Riba is an Islamic finance term that relates to interest charges. It has also been referred to as usury, the practice of charging excessively high-interest rates. Another type of *riba*, according to most Islamic jurists, is the simultaneous trade of items of uneven quantities or quality. They will, however, be referring to the practice of charging interest here. *Shari'ah* law forbids riba for several reasons. First, it is meant to ensure equity in exchange. Its goal is to guarantee that individuals can safeguard their wealth by outlawing unfair and unequal sales. Second, Islam aims to promote charity and help others through kindness. Third, to remove sentiments of selfishness and self-centeredness, which can create social antipathy, distrust, and resentment. Finally, by outlawing riba, the *Shari'ah* law creates circumstances and opportunities that encourage people to behave charitably by making interest-free loans (Investopedia, 2022).

3.4. Gharar

It prohibits Muslims from engaging in ambiguous or uncertain transactions. According to Islamic law, both parties must reasonably conduct their transactions. Both parties must share complete information to share profits and losses equally. Under this prohibition, any transaction should be free from uncertainty, risk, and speculation. For example, contracting parties should have perfect knowledge of their transactions' counter values intended to be exchanged. Also, parties cannot predetermine a guaranteed profit. Based on the principle of "uncertain gains," which, on a strict interpretation, does not even allow an undertaking from the customer to repay the borrowed principal plus an amount to take into account inflation. The prohibition stems from a desire to protect the vulnerable from exploitation. Therefore, options and futures are considered un-Islamic and forward foreign exchange transactions because interest differentials determine rates.

3.5. Gambling

In Islam, acquiring wealth and gambling are forbidden. Moreover, it shields Muslims from standard insurance products since it is a kind of gambling. On the other hand, *Takaful* Bank works under the principles of mutual responsibility and shared risk. According to Abdullah (2017), Islamic gaming restrictions are unequivocal, and no source gives an appropriate explanation of the word. Instead, *Islamic* scholars have spent years developing categories based on their interpretation of gambling book dates. Previous scholars' classifications precisely match the specific behaviors that existed at the time.

In addition, Quranic interpretations and dissertations on *Islamic* law provide definitions and components of gambling from Islamic thinkers. The findings relate to various modern commercial operations, such as insurance, stock, and commodity market speculation. The definitions and apply them to present kinds of activity that are suspected of resembling gambling in some manner. Studies have shown that some of these activities have some gambling elements, but they are not enough to transform the activities into gambling.

The Islamic terminology for gambling uses the terms maysir or qimar, both of which mean wagering and betting (Ibn Kathir, 1410H). A notable classical *Islamic* law scholar, Ibn al-‘Arabiyy (1934), describes the nature of qimar, wagering or gambling, as a game where "each of two contestants seeks to defeat his partner in an action or statement to take over property set aside for the winner." However, in the Qur'an, the word maysir, which refers to gambling, appears three times in three different places, namely in verses 219 of chapter 2, verses 90, and 91 of chapter 5. In contrast, the Qur'an does not mention the word qimar, specifically betting.

Al-Razi (1981), a well-known classical Quranic commentator, lists hostility, cursing, and disagreement among participants as effects of maysir and qimar that are detrimental to economic growth and divert people from remembering Allah's offering prayers when discussing the wisdom of banning gambling. He added that gambling in qimar and maysir fed his desire to succeed, especially after suffering losses, and that eventually, he used all of his assets so extensively for gambling that he was able to neglect his wife and children. Therefore, the loser of this bet will undoubtedly suffer. Hence, this results in widespread social unrest and the destruction of a society's socioeconomic fabric.

3.6. Investing in Prohibited Industries

Islam prohibits industries that harm society or threaten social responsibility. These include pornography, prostitution, alcohol, pork, and narcotics. Therefore, investments should only support practices or products not forbidden (or even discouraged) by Islam. A real estate loan to build a casino, for example, would not be financed by an Islamic bank, and the bank would not be able to lend money to other banks at interest.

3.7. Zakat

Islamic rules include a wealth tax known as *zakat*, which allows for an equal distribution of wealth. During the holy month of Ramadan, a significant amount of *zakat* will be deducted from the Islamic account, according to Islamic banking principles. The Islamic bank promotes this social responsibility and distributes the amount to the poor.

4. HISTORY OF ISLAMIC BANKING AND FINANCE

Islamic banks and finance are compliant with *Shariah* (Islamic law) and its practical application by promoting the Islamic economy. *Mudarabah* (profit sharing and loss absorption), *Wadiah* (safekeeping), Musharakah (joint venture), *Murabahah* (cost plus), and *Ijarah* are part of the Islamic banking and finance (leasing) form. Shariah prohibits *riba*, or usury, defined as interest paid on all money loans (although some Muslims dispute whether there is a consensus that interest is equal to *riba*). (Farooq, 2009; Khan, 2013). Investing in companies that provide goods or services that violate Islamic principles (such as pork and alcohol) is also *haram* ("sinfully forbidden"). In the past, these prohibitions were used by the Islamic community to discourage non-Islamic practices. In the second half of the 20th century, as part of the revival of Islamic identity (Usmani, 1998), many Islamic banks were established to apply these principles to private or semi-private commercial institutions within the Islamic community (Usmani, 1998; Rammal & Zurbruegg, 2007; Saeed, 1996). Its number and scope are expanding, with more than 300 banks and 250 investment trusts around the world adhering to Islamic principles, with Shariah compliance in 2009 reaching approximately $ 2 trillion (The Economist, 2009).

Shariah-compliant financial institutions account for approximately one percent (1%) of the world's total wealth (Naveed, 2014), with the majority of wealth concentrated in Islamic countries, namely Pakistan, Iran, and Malaysia (Towe et al., 2015). Islamic banks still only account for a small portion of Islamic banks' total wealth (Yueh, 2014), but since their establishment, they have increased more quickly than banks' overall wealth (The Economist, 2014; Warde, 2000; Khan, 2015). These prohibitions have historically been used in the Islamic community to discourage non-Islamic practices. In the second half of the 20th century, as part of the revival of Islamic identity (Usmani, 1998), several Islamic banks were established to apply these principles to private or semi-private commercial institutions within the Islamic community (Rammal & Zurbruegg, 2007; Saeed, 1996).

Islamic banking is one of the areas of the financial industry that is expanding the fastest globally. Industry forecasts suggest that global Islamic banking assets held by commercial banks will increase as new regions open up to the practice. Over the last decade, the growth rate has accelerated due to greater awareness, demand, and improved access to Islamic banking services. Across the world, and notably in the Gulf Cooperation Council (GCC), the Middle East, and South Asia (which account for more than half of the global Islamic banking business), the aim has been to allow for a dual banking system in which Islamic banking coexists with conventional banking. The demand for *Shari'ah*-compliant products from financiers in the Middle East, other Islamic countries, and investors worldwide has increased, causing the Islamic Banking sector to grow and become a global business. As a result, Islamic banking is expanding rapidly across the entire range of financial operations, including personal banking, insurance, and capital market investments, in addition to its enormous geographic reach. The Islamic banking industry's continuous expansion is attributable to increased demand from many Islamic groups, mainly Muslim immigrants to Western nations. In addition, non-Islamic investors seeking "ethical" investing and banking are becoming more interested in GCC oil assets and Shariah-compliant financial services.

Islamic banking is a type of financial system that conducts banking and economic transactions in accordance with *Islamic Shariah* principles. It adheres to *Islamic* law's views and concepts about commerce and business, known as fiqhal-muamalat, or Islamic laws on transactions. Other sources of Islamic law can be found, including the Qur'an, *Sunnah*, *Ijma'* (the consensus opinion among *Sharian* scholars), *Qiyas* (analogy), and *Ijtihad* (personal reasoning). *Riba* (usury-interest), *gharar* (uncertainty), *haram* (forbidden) transactions, alcoholic drinks, pornography, gambling, and other transactions are all avoided by *Islamic* banks. *Islamic* banks make no concessions when it comes to *Islamic* grains. Despite the fact that it is a for-profit corporation, the regulations apply. *Islamic* banks are trading systems that sell products and services and invest capital at risk in accordance with *Shariah*, as opposed to standard interest-based banks, which are focused on pricing, currency exchange, and interest income. Based to the Quran's prohibition, trade is permissible while *Riba* is banned. 2022) (Alizz Islamic Bank).

4.1. Islamic banking and finance in early islam

The beginnings of contemporary *Islamic* banking may be traced back to the lending, borrowing, and funding of commercial operations of an earlier age. The city of Makkah, where the Qur'an was revealed to Prophet Muhammad (PBUH), has been an international commerce hub since the pre-Islamic period (Watt, 1953). The Makkan people may have built a commercial empire of worldwide dimensions' (Crone, 1987). They required money for commercial objectives because trading was their primary activity. Those with excess cash advanced capital to entrepreneurs and dealers and split the profits. The Prophet himself engaged in business before his prophethood and went multiple times with the financial capital of Khadijah, who extended his financing on a mudarabah basis. On the eve of the battle of al-Badr, the caravan led by Abu Sufyan consisted mainly of capital acquired in collaboration with Abu Sufyan and others (Ibn Taymiyah, 1963). Under the Islamic system, profit and loss sharing has been given as an alternative to charging interest for company financing. However, no one has the right to a guaranteed profit regardless of the outcome of the enterprise. Profit should be divided according to a predefined ratio rather than a percentage received on capital contributed. In the event of a loss, the capital owner bears the capital loss while the working partner bears the labor loss; that is, his effort goes "unrewarded." When "moral hazard," underreporting of profits, or negligence on his part is established, the working partner is held liable in a mudarabah partnership (Ibn Taymiyah, 1963).

In the pre-Islamic times, particular wealthy associates of the Prophet, such as Al-'Abbas ibn 'Abd al-Muttalib and Uthman ibn Affan, established loan companies with the people of Makkah and Taif (Ibn al-Jawzi, 1964). They abandoned Islam after accepting it. Lending and borrowing must be interest-free in the Islamic system. Almighty Allah, the Creator of the affluent and the needy, must be expected to reward them. Such lending has been promoted by *Islam* and is regarded as more profitable than charity (Ibn Majah, 2011; Hadith No. 2431). It is no wonder that it was immensely popular with Muslims. It is, therefore, no surprise that the Qur'an's most extended verse (The Qur'an 2: 282) is about the recording of lending-borrowing transactions.

The Qur'an guides accepting a pledge as a guarantor to repay a debt. And if you are traveling and cannot find a scribe, take a promise (mortgage); then, if one of you entrusts the other, let the entrusted one discharge his trust (faithfully), and let him be frightened of Allah, his Lord. And do not conceal the proof, for he who conceals it has a guilty heart. And Allah is all-knowing of what you do

(The Qur'an (2:283). There are several occasions when the Prophet (PBUH) borrowed from his companions (al-Nasai, 1986; Hadith No. 4683). He also borrowed money from Jews. Indeed, when the Prophet died, his shield belonged to a Jew who had kept it as collateral for a debt (al-Asqalani, 1397H., 1: 279). His borrowing was for both personal and public interests. He borrowed on occasion based on anticipated earnings from the Bayt al-mal (public Treasury); that is, he would return when money was available in the Treasury.

Hamidullah (2007) points out that Islam forbade interest, offered a method to do away with it, and demanded that a portion of tax revenue be set aside to assist the indebted. This provision is inferred from the verse quoted above. He argues that the term "indebted" does not apply to those homeless and in need of food, despite the passage's opening mention of the poor and needy. Instead, it refers to "the well-to-do" who are momentarily short on funds (Hamidullah, 1962). This is due to the fact that increasing the interest prohibition without allowing for addressing the needs of the underprivileged has never been successful in any civilization. Islam was the first to establish that providing interest-free loans to the poor, even the wealthy, is one of the foremost tasks of the state, and the Qur'an lists this as one of the Muslim State's expenses.

According to Abdul Azim (2018) discusses the origin and development of *Islamic* banks and finance from the dawn of *Islam* to the official establishment of *Islamic* banks in the 1960s. He also sheds light on banking in the second half of *Islamic* history, an almost unexplored territory. He records the existence of an interest-free credit society at the end of the 19th century and the pre-development of modern Islamic banks in the latter half of the 20th century. The author conclude that Islamic banks attempt to practice some aspects of economic life in *Islamic* ways. However, it first occurred in rural and agricultural economies and, as is generally claimed, had nothing to do with oil money or oil booms in the Middle East.

4.2. Islamic Financial System

The *Islamic* financial system has emerged as a viable and essential component of the entire financial system, complementing the traditional financial system. The Financial Sector Master Plan (FSMP) has a clear strategic focus on facilitating the development and expansion of the Islamic banking system. In 2003, *Islamic* banks made up 9.7% of the banking system's total assets, up from 6.9% in 2000, and stable macroeconomic and economic fundamentals supported this growth. The market share for deposits and financing has also increased significantly. 10.4% (2000: 7.4%) and 10.3% (2000: 5.3%) of the total banking system. The rapid progress of the domestic *Islamic* banking system, highlighted by the significant expansion and development of *Islamic* banks and finance, is becoming increasingly important to meet the changing demands of the new economy.

The *Islamic* financial system operates in tandem with the conventional financial system under Malaysia's dual banking environment. The *Islamic* financial system comprises the Islamic banking industry, the Islamic money market, the Islamic insurance industry (also referred to as *Takaful*), the Islamic capital market, and specialized financial institutions that offer additional funding sources. The interdependence of these fundamental structural components is necessary for the Islamic financial system to function as a successful route for resource mobilization and financing productive economic activity. In addition, it provides a healthy atmosphere. This structure contributes to the *Islamic* financial system's overall stability and makes it more resilient and capable of withstanding financial shocks. Included in the Islamic financial system are:

4.2.1. Islamic banking system

The *Islamic* banking system, which forms the backbone of the *Islamic* financial system, plays a vital role in mobilizing deposits and providing financing to facilitate growth. The Islamic Banking Scheme is provided by 33 *Islamic* banking institutions, including two *Islamic* banks and 31 conventional banking institutions (nine commercial banks, four foreign banks, seven finance companies, four merchant banks, and seven discount houses). These *Islamic* banking institutions provide a comprehensive and varied selection of *Islamic* financial products and services. Both Muslim and non-Muslim customers have expressed interest in the products that *Islamic* banking institutions have been able to arrange and offer at competitive prices with conventional banking products, demonstrating the effectiveness of the *Islamic* banking system as a means of financial intermediation. The extensive distribution network of *Islamic* banking institutions, which consists of 152 full-fledged Islamic banking branches and 2,065 *Islamic* banking affiliates.

4.2.2. Islamic money market

The existence of an active *Islamic* interbank money market is another critical component of the *Islamic* financial system. Under the *mudharabah* (profit-sharing) interbank investment (MII) mechanism, *Islamic* banking institutions can raise funds to meet their short-term funding requirements based on a profit-sharing arrangement. Since its inception in 1994, the volume of MII increased from only RM0.5 billion in 1994 to RM283.8 billion in 2003. In addition, Islamic banking institutions can meet their investment and liquidity needs thanks to a wide range of short-and long-term *Islamic* financial instruments, including Government Investment Issues (GII), Bank Negara Negotiable Notes (BNNN), and Islamic private debt securities. The GII and BNNN are additional tools that Bank Negara Malaysia uses to manage liquidity in the Islamic banking system. Additionally, the Fully Automated System for Tendering (FAST) and the Real-Time Gross Settlement System (RENTAS) improve the effectiveness of the Islamic money market. While RENTAS facilitates higher value interbank funds transfers and scripless securities, FAST streamlines the tendering process for Islamic securities, including government securities, commercial papers, and private debt securities.

4.2.3. Islamic insurance or Takaful

The *takaful* business contributes to the overall synergy of the Islamic financial system. *Takaful* operators, particularly those in the general commercial sector, offset some of the banking system's risks associated with funding activities, thereby improving the financial system's resilience. *Takaful* operators play an essential role in the family takaful company as economic actors who mobilize long-term funds for long-term investment and economic progress. *Islamic* financial markets now have more depth thanks to the creation of *Islamic* financial products with the help of skilled operators.

4.2.4. Islamic capital market

In *Islamic* capital markets, funds are raised to finance long-term infrastructure and development projects through the issuance of private *Islamic* debt securities. *Islamic* capital markets reduce overreliance on the Islamic banking system for long-term funding and allow *Islamic* banking institutions to diversify some risks arising from asset mismatches and liabilities. The existence of *Islamic* capital markets plays a vital role in mitigating the potential sources of financial vulnerabilities and contributing to the strengthening and resilience of the *Islamic* financial system, leading to more excellent financial stability. The issuance of *Islamic* financial instruments ranging from short-term commercial paper and medium-term bonds to long-term *Islamic* bonds helps *Islamic* banking institutions meet their investment and liquidity needs. *Islamic* instruments' different financing structures also provide issuers flexibility in managing their unique funding needs.

Islamic banking institutions actively participate in deal initiation, underwriting, and business advisory services, broadening the breadth and depth of the *Islamic* capital markets. As a result, it increases the efficiency and effectiveness of the *Islamic* financial system. Furthermore, *Islamic* financial instruments appeal to a broader investor base, including *Islamic* and conventional institutional investors, allowing the funds raised to be leveraged at a competitive cost.

4.2.5. Financial institutions.

Professional non-banking institutions that provide *Islamic* financial products and services, such as the Development Financial Institution (DFI) and the Pilgrims Fund Board, complement the Islamic banking system by expanding its reach to specific strategic sectors of the economy. The overall ability contributes to the economic growth and development of the *Islamic* financial system. Meanwhile, the presence of auxiliary institutions such as the National Mortgage Corporation (Cagamas Berhad) has helped strengthen the resilience of the *Islamic* financial system through the securitization of *Islamic* mortgages and *Islamic* employment purchase receivables in the *Islamic* banking institution's portfolio. *Islamic* banking. A hallmark of a well-developed financial infrastructure is the diversity of stakeholders, including the involvement of foreign stakeholders in the *Islamic* financial situation. Knowing this, the Central Bank of Malaysia promoted the liberalization of the Islamic banking sector. The existence of a full-fledged foreign *Islamic* bank in Malaysia will have a ripple effect that will increase product diversity, promote financial innovation and support the overall development of the *Islamic* financial system. It also acts as a bridge between Malaysia and other global *Islamic* financial markets, creating a favorable environment for Malaysia to become a regional center for *Islamic* banks and finance. As the domestic Islamic banking industry enters a more advanced stage of development, significant developments are shaping the industry's financial regulatory infrastructure domestically and internationally.

5. GLOBAL FINANCIAL CRISIS

The Global Financial Crisis (GFC) of 2008–2009 refers to the world's massive financial crisis from 2008 to 2009. The financial crisis took its toll on individuals and institutions around the globe, with millions of Americans being deeply impacted. Financial institutions started to sink, larger entities absorbed many, and the US government was forced to offer bailouts to keep many institutions afloat. The crisis known as "The Great Recession" did not occur suddenly. Many factors were present leading up to the crisis, and their effects still linger. The Global Financial Crisis (GFC) was fueled by the housing market bubble of 2007, when banks and lending institutions offered low-interest mortgages, encouraging many homeowners to take out loans they could not afford. Due to the influx of mortgages, lenders devised new financial instruments known as mortgage-backed securities, which were essentially mortgages bundled together and sold as securities with minimal risk because they were backed by credit default swaps (CDS). Lenders would then be able to pass the mortgages easily—and all associated risk—on to the next generation. Outdated regulations that weren't rigorously enforced allowed lenders to get sloppy with underwriting, meaning the actual value of the securities couldn't be established or guaranteed.

Banks began lending recklessly to families and individuals who lacked the financial means to repay their mortgages. Such high-risk (subprime) loans were then inevitably bundled together and passed down the line. As the subprime mortgage bundles grew overwhelmingly, with a large percentage moving into default, lending institutions began to face financial difficulties. It led to dismal economic conditions worldwide during the 2008-2009 period and continued for years to come. The 2008-2009 GFC left an indelible mark. Many who took out subprime mortgages eventually defaulted. When they could not pay, financial institutions took significant hits. The government, however, stepped in to bail out the banks.

Nevertheless, the housing market was severely impacted by the crisis. Evictions and foreclosures began within months. The stock market, in response, began to plummet, and significant businesses worldwide began to fail, losing millions. As a result, there were widespread layoffs and long periods of unemployment worldwide.

In addition, declining credit availability and falling confidence in financial stability led to fewer and more cautious investments, and international trade slowed. Eventually, the United States responded to the crisis by passing the American Recovery and Reinvestment Act of 2009, which used an expansionary monetary policy, facilitated bank bailouts and mergers, and worked toward stimulating economic growth (CFI, 2020). The GFC wreaked havoc on global financial markets and banking institutions between mid-2007 and early 2009. A slump in the US housing market prompted a financial crisis that spread from the US to the rest of the world via global financial system linkages during the GFC. Several banks worldwide experienced significant losses and needed government aid to avoid going bankrupt. As a result, millions of people lost their jobs, and the economies of the developed world experienced their worst slump since the 1930s. The recovery was slower than in previous recessions without a financial crisis. Excessive risk-taking in a favorable macroeconomic climate, bank and investor borrowing, and regulatory and policy failings are among the leading causes of the global financial crisis (Reserve Bank of Australia, 2022).

The GFC impacted the Australian and Chinese manufacturing sectors in contrasting ways. In summary, manufacturing has been in relative decline within the Australian economy: its share of the economy has been falling and today stands at 8.5 percent, compared to 12.1 percent in 2000. By contrast, China's manufacturing base is export-oriented and has been increasing based on economic growth rates of 10 percent annually. Moreover, its rapid growth has been driven by large investments in manufacturing facilities and technological advances achieved by the country. Manufacturing accounted for 34 percent of China's economy and was exposed to the real and immediate economic fallout from the GFC and global recession. The decline in the US and European economies impacted Chinese manufacturing dramatically.

As a result, manufacturing exports fell (around 40 percent of exports are electronic products), and production was reduced, as was the demand for raw materials and labor. However, the economic stimulus package implemented by the central government resulted in a quick turnaround of its manufacturing economy. It contributed to an annual economic growth rate of close to 9 percent.

The impact of the GFC on Australian manufacturing was far less severe than initially anticipated, as the global recession's impact was delayed, and the sector's long-term decline continued. The high value of the Australian dollar, which began in 2002 and has resulted in a long-term deterioration in the competitiveness of Australian manufacturing, is a major factor in this decline. The GFC's impact was greatest on the automotive industry, particularly in regional areas with the highest job loss rate.

As a result, the industry experienced a sharp decline in exports and a fall in local demand for vehicles as businesses and households limited spending. In response, the government introduced a business tax break and other stimulus measures to stabilize the local car market (Priestley, 2022).

5.1. The economic and financial crisis in developing countries

The global financial and economic crisis had a significant impact on developing countries. Every country had different challenges to master. The closer the developing countries are interconnected with the world economy, the crasser the effects. Only a few nations and regions are currently experiencing the beginnings of recovery. The crisis was transmitted primarily by trade and financial flows, forcing millions back into poverty. Attainment of the Millennium Development Goals is seriously jeopardized in many countries. Many developing countries lacked the resources developed countries had to boost their economies and protect their socially vulnerable populations. However, many countries have made considerable efforts to mitigate the effects.

Developing countries have also increased their cooperation and urgently demand a greater voice in global economic affairs. Industrialized countries are, for the most part, more concerned with their problems than developing countries. Their readiness to provide more extensive aid is limited. They are under pressure from international organizations to relinquish their previous dominance in favor of the increasingly strong emerging countries. A shift in power and influence that was already noticeable before the financial crisis is deepening (Gurtner, 2010).

5.2. The 2008 financial crisis and its similarities to 1939

The historical parallels are troubling. A decade after the two most devastating financial crises in modern capitalism, in 1929 and 2008, a terrible conflict began in Europe that threatened to engulf the entire world. It is essential to recognize that significant wars and financial crises are symptoms of deeper structural problems in societies—the underlying tectonic movements that have created these cracks. Something important happened to capitalism in the late 19th century. Until then, humanity lived a precarious life. Commodity supply depends on weather conditions, but demand is generally not an issue. With the advent of fertilizers and heavy machinery, the scientific production method in production and agriculture has changed. Starting with the United States, the technology leader, there are too many goods looking for too few buyers.

The result was a situation where lenders were overburdened, and producers could not find enough defaulting customers, effectively destabilizing capitalism. As a result, the United States had many financial crises in the late nineteenth and early twentieth centuries, the most severe of which occurred in 1929. According to French regulatory thinking, the root of the problem is an overabundance of commodities. World War II was fought against four industrial models, each offering a solution to the problem (Palan, 2022).

5.3 Recovery of the MENA region from the global economic crisis

The Middle East and North Africa region is recovering from the financial crisis and the global economy. As a result, growth in 2010 is expected to be 4.4 percent region-wide, driven by domestic absorption. In addition, a positive contribution from external demand is expected to drive regional growth. The three main ways that the global financial crisis impacted the economies of the Middle East and North Africa (MENA) are the financial sector, the price of oil, and the balance of payments, which reflects the impact on trade, remittances, and foreign direct investment (FDI) flows. The recovery from the crisis varies by country, depending on the initial circumstances and the intensity of the impact (Ianchovichina, 2022). With the ongoing COVID-19 epidemic, the global economy will be poorer than projected in 2022. According to its latest World Economic Outlook report, the International Monetary Fund (IMF) expects global growth to decline from 5.9 percent in 2021 to 4.4 percent in 2022. However, in the medium run, established economies will grow by 3.9 percent on average in 2022, while emerging and developing economies will grow by 5.9 percent. In addition, increased geopolitical tensions and social unrest, particularly in the Middle East and North Africa (MENA), as well as the possible appearance of new COVID variants, can potentially exacerbate economic volatility (Maha, 2022).

5.3.1 Recovery turmoil and rising inflation

The world economy will enter 2022, which is weaker than expected. When the new Omicron-COVID-19 variant became widespread, countries reintroduced mobility restrictions. In addition, rising energy prices and supply disruptions have led to wider-than-expected inflation, especially in the United States and many emerging and developing countries. The continued contraction of China's real estate sector and a slower-than-expected recovery in consumer spending also weighed on growth prospects. As a result, the global economy is expected to shrink from 5.9% in 2021 to 4.4% in 2022, 0.5% lower than the World Economic Outlook (WEO) forecast. It mainly reflected the forecast decline for the two major economic zones in October. The United States dropped by 1.2 percentage points due to the revised assumption, which first removed monetary easing and ongoing supply shortages before removing the fiscal program "Build to Better" from the baseline. In China, the pandemic-related turmoil associated with COVID-19's zero-tolerance policy and the ongoing financial burden on real estate developers led to a 0.8% decline.

Thus, global growth is anticipated to slow to 3.8% in 2023. Although this is 0.2 percentage points higher than the previous prediction, it mainly reflects the mechanical recovery after the current growth trends became apparent in late 2022. In addition, by the end of 2022, it is predicted that health conditions in most countries will improve. However, because of supply chain problems and rising energy costs, inflation is expected to last longer than WEO had predicted. On the other hand, inflation should gradually decline if inflation expectations are firmly fixed as supply and demand imbalances ease in 2022 and significant economies react with monetary policy.

The global baseline is under threat. The emergence of new COVID-19 variants could prolong the pandemic and cause further economic turmoil. Furthermore, supply chain disruptions, volatile energy prices, and local wage pressures imply high uncertainty about inflation and policy paths. Risks associated with rising interest rates in developed economies, particularly in light of the significant increase in debt levels over the past two years, include interest rates, financial stability, capital flows, currencies, and fiscal positions in emerging and developing economies. It is possible.

Geopolitical tensions are still high enough that other global risks could materialize. As a result, major natural disasters are likely to accompany ongoing climate emergencies. As the pandemic continues, focusing on effective global health strategies is more critical than ever:

1. Global access to vaccines, tests, and treatments is essential to reduce the risk of other dangerous variants of COVID-19. This calls for boosted supply generation, enhanced domestic delivery systems, and more equitable global distribution.
2. Monetary policy needs to continue to tighten in many countries to curb inflationary pressures.
3. Fiscal policy must prioritize health and social spending, focusing on the most impacted people, given the limited space available at the beginning of the pandemic.

In this situation, international cooperation is crucial to maintaining access to liquidity and, if necessary, accelerating orderly debt restructuring. Finally, investment in climate policy remains critical to reducing the risk of catastrophic climate change (IMF, 2022).

6. GLOBAL ECONOMIC RECOVERY

Policy and regulatory responses across the globe and in Malaysia have centered on ensuring economic resilience, managing financial stability risks, and minimizing societal consequences. It is done in tandem with the pandemic's various stages: containment, stabilization, and recovery. To contain the crisis and stabilize the economy, governments and financial regulators implemented large stimulus packages and various assistance programs at the beginning of the crisis. The above includes dealing with disruptions in demand and supply, maintaining cash flows, and keeping workers employed. In Malaysia, the total stimulus package was USD 73.5 billion (RM305 billion), with the government providing an additional RM45 billion (Ghaffour, 2020).

The Wage Subsidy Programme, which cost RM10.4 billion, had benefited 2.63 million workers and 321,000 companies as of September 2020. In addition, to provide additional stimulus to the economy, the Bank has reduced the overnight policy rate (OPR) by a total of 125 basis points (from 3.00 percent to 1.75 percent) this year, in addition to a 100 basis point reduction in the statutory reserve requirement (from 3.00 percent to 2.00 percent). The OPR cut is intended to provide additional policy stimulus to accelerate the pace of economic recovery. The financial sector, including Islamic financial institutions, stood by their clients and borrowers. In the first half of 2020, a total of RM120 billion in lending and financing to SMEs was disbursed, with more accounts approved in 2020 than in previous years.

Furthermore, Islamic financial institutions and related associations have been actively educating and informing affected borrowers about the financial assistance programs available in response to the pandemic. The *takaful* and insurance industries also assisted affected certificate holders by offering a temporary postponement of contribution and premium to ensure the continuation of takaful protection coverage. According to Bank Negara Malaysia, this relief measure has benefited over 1.1 million certificates and policyholders. While the pandemic has yet to reach its peak in some countries, others, including Malaysia, are on the mend while constantly monitoring the risk of virus resurgence. As this stage begins, *Islamic* finance has significant potential and a role to play. At least three characteristics come to mind when considering how Islamic finance can respond to and meaningfully contribute to sustainable and inclusive growth:

First, *Islamic* finance must be value-driven and impact-focused to deliver *Maqasid Shariah* (the objectives of Shariah). The intrinsic values of *Islamic* principles align with a balanced, sustainable, and inclusive vision of economic growth. *Shariah* advocates a balance between wealth creation and wealth circulation. This encourages fairness and ihsan by making it easier to obtain benefits and stop damage. This crisis has created a wealth of opportunities for Islamic finance. With the use of risk-sharing, *waqf*, and *sadaqah*, *shariah* contracts can mobilize a variety of risk-absorbing, patient, and charitable resources to support inclusive financing. The flexible nature of such capital encourages the allocation of resources towards entrepreneurial ventures and social impact projects that can improve and rebuild the well-being of society. It can also, to some extent, help smooth structural adjustments in the economy.

Despite the pandemic, there has been good news everywhere. In Malaysia, the people have drawn closer together to support the local economy and public health and welfare issues by becoming more socially conscious. Particularly in Malaysia, *Islamic* financial institutions have responded to the need for "Value-based Intermediation" (VBI) to have a more positive influence. To better meet their clients' demands, participating *Islamic* financial institutions have worked to improve the range of products and services they offer. For example, eight Islamic banking institutions—or half of all *Islamic* banks in Malaysia—now provide microfinance through the bank's Micro-Enterprise Facility, which was established to increase access to capital for viable micro-enterprises.

In *financial* protection, more than 50,000 participants have benefited from various micro-*takaful* products that provide affordable or free protection for the hard-core poor and individuals with special needs. In addition, *Islamic* financial institutions continue to steward efforts toward building a greener financial system. In August 2020, the VBI practitioner community, in collaboration with banks, published three industry guides on energy efficiency, renewable energy, and palm oil for public consultation. The documents help the industry incorporate environmental, social, and governance (ESG) risk considerations into its financing and investment decisions. Aligning corporate values with the objectives of promoting shared prosperity and sustainable growth is a critical first step to elevating the role of finance towards achieving inclusive growth.

The second is being technologically adept. Across the globe, the "digital divide" remains a significant roadblock to ineffective usage of financial services, especially in rural areas with poor connectivity. While awareness of digital financial services has gradually increased, actual use among low-income groups in Malaysia remains low. Simplicity and user-friendliness are two critical drivers for greater digitally-enabled financial services adoption. A well-designed solution that provides a positive user experience can reduce mindset and technological barriers to adopting and using digital financial services. For financial services providers, digital solutions can reduce operational costs, allowing for more affordable products and broader access to the highly connected (mobile phone and internet usage) Malaysian population.

Islamic finance can accelerate digital innovation through value-adding partnerships with the fintech community. During the pandemic, consumers and businesses alike have increased their use of mobile and digital platforms. Malaysia has a broad takeup of mobile banking technology, representing a nearly 60% penetration rate of the total adult population (as of July 2020). Businesses have shifted platforms or increased their presence on online marketplaces, and the use of e-payments has grown as Malaysians' awareness of e-commerce has grown. Several financial institutions have enhanced their internet and mobile banking channels to help market SME businesses among their customers. *Takaful* operators and insurance companies have also increased the digitalization of their operations, such as claims processing and customer service, to minimize face-to-face interaction during the movement control order period.

In August 2020, the bank and the Malaysian Digital Economy Corporation (MDEC) announced the launch of the Fintech Booster program. Fintech companies and their partners will access tools and business development support such as business model, legal, and compliance advisory to develop meaningful solutions. This program is expected to spur a more dynamic fintech ecosystem that can contribute to a thriving digital economy in Malaysia. Efforts to accelerate digital financial innovation can transform how finance is delivered to society and expand its reach beyond traditional frontiers.

The third is being socially responsible in empowering the community. The infusion of social finance in *Islamic* financial services offers significant potential for *Islamic* finance to mobilize capital more effectively toward building social resilience. Provision of funds and financial protection can be made more affordable and accessible to a broader community by integrating social finance instruments such as endowment (*waqf*), donation (*sadaqah*), and alms-giving (*zakat*). Countries such as Indonesia and Turkey have successfully integrated social finance within the broader financial ecosystem (Glaffour, 2020).

6.1. Emerging market economies

Continued COVID-19 flare-ups, waning policy support, and lingering supply bottlenecks have slowed the global recovery. Over the forecast period, output in emerging market and developing economies (EMDEs) will remain well below pre-pandemic levels, in contrast to advanced economies. Moreover, the global outlook is clouded by various downside risks, including renewed COVID-19 outbreaks due to Omicron or new virus variants, the possibility of de-anchored inflation expectations, and financial stress from record-high debt levels. If some countries eventually require debt restructuring, this will be more difficult to achieve than in the past.

In addition, climate change may increase commodity price volatility, creating challenges for almost two-thirds of EMDEs that rely heavily on commodity exports and highlighting the need for asset diversification. The pandemic's increase in between-country and within-country inequality may exacerbate social tensions. Given limited policy space in EMDEs to support activity if needed, these downside risks increase the possibility of a hard landing. These challenges highlight the importance of strengthened global cooperation to promote rapid and equitable vaccine distribution; proactive debt sustainability measures in the poorest countries; increased efforts to combat climate change and within-country inequality; and an emphasis on growth-enhancing policy interventions to promote green, resilient, and inclusive development, as well as reforms that broaden economic activity to decouple from global commodity markets.

Growth in the Middle East and North Africa (MENA), by contrast, is projected to be faster in 2022–23 than on average during 2010–2019, reflecting a broad-based growth acceleration relative to 2021 as disruptions from the pandemic and oil production cuts both wane and the policy environment remains supportive. However, as substantial pent-up demand continues to boost growth, none of the EMDE regions will approach the post-pandemic growth acceleration seen in advanced economies, where average growth in 2022–2023 is projected to be more than one percentage point higher than in 2010–2019. As a result, the pace of recovery will be uneven within regions and, on a per capita basis, may leave behind those in economies that experienced the deepest contractions in 2020, such as tourism-reliant island economies.

Moreover, half or more of the economies in EAP, Latin America and the Caribbean (LAC), and MENA will still be below their 2019 per capita GDP levels by 2023, and two-fifths in Sub-Saharan Africa (SSA). In most emerging market and developing economy regions, growth in 2022 and 2023 will be about average for the decade before the pandemic. However, East Asia and the Pacific (EAP) will fall short. However, this pace of growth will not be enough to recoup GDP setbacks during the pandemic.

By 2023, output in all regions is expected to remain below pre-pandemic trends, with Europe and Central Asia the closest to their pre-pandemic trajectory and SAR the farthest. Moreover, the pace of recovery will be uneven within regions. More than half of the economies in EAP, Latin America and the Caribbean, and the Middle East and North Africa will still be below their 2019 per capita GDP levels by 2023 (World Bank, 2022).

6.2. World Bank predicts uneven recovery in MENA

Economies in the Middle East and North Africa (MENA) region are expected to grow by 5.2% in 2022, the fastest rate since 2016, on the back of oil-price windfalls benefitting the region's oil exporters. But heightened uncertainty surrounds this forecast due to the war in Ukraine and ongoing threats from COVID-19 variants. The World Bank's latest economic update forecasts an uneven recovery as regional averages mask broad differences. Oil producers will benefit from higher oil prices and vaccination rates as fragile countries lag. But tighter global monetary policy, the unpredictability of the course of the pandemic, ongoing supply chain disruptions, and food price hikes raise inflation risks for the entire region.

The harsh reality is that no one has crossed the hill yet. The threat of COVID-19 variants remains, and the war in Ukraine is deplorable, with the brunt of food and energy soaring. It is increasing the risk for people, said Ferid Belhaj, Vice President of the World Bank in the MENA region. "Managing this wave of uncertainty is a key challenge for policymakers. The World Bank is committed to working alongside governments across the MENA region during this time of compounding risks." Currency depreciation in some countries in MENA is already adding to inflationary pressures. Moreover, economies facing fiscal and debt vulnerabilities will likely encounter more challenges as they roll over existing debt or issue new debt amid tighter financing conditions as global central banks aim to contain inflation expectations.

The Ukraine war has exacerbated inflationary pressures created by the pandemic. Countries in the MENA region rely heavily on food imports, including wheat from Russia and Ukraine. The rise in food prices and the higher risk of food insecurity will likely hurt low-income families because the poor spend more of their household budget on food and energy than wealthy households. The full extent of the consequences of the war is yet to be determined. Still, early signs point to a heightening of the economic difficulties already besetting MENA economies, particularly oil-importing middle-income countries.

Adding to pandemic-related uncertainty, only a third of the middle-income MENA countries have higher vaccination rates than their income peers. As of April 4, 2022, Gulf countries, excluding Oman, which has a 57.8% vaccination rate, have an average rate of 75.7%, far better than their income peers. However, countries like Algeria and Iraq have vaccinated between 13 and 17% of their populations. In contrast, Yemen and Syria have vaccination rates in the single digits, making them more vulnerable to the economic and health effects of COVID-19.

The MENA Economic Update chooses a particular focus area, and this April's edition provides a reality check on growth forecasts over the past decade, including those offered by the World Bank, the International Monetary Fund, and the private sector. Economic forecasts are a valuable tool for governments as they prepare for the future, especially during times of uncertainty. The authors found that growth forecasts in the MENA region over the past decade were often inaccurate and overly optimistic compared to those of other areas. Overly optimistic forecasts can lead to economic contractions down the road. A key driver of forecast uncertainty is the availability and accessibility of quality and timely information, an area where MENA lags behind the rest of the developing world (World Bank Group, 2022).

7. METHODOLOGY

The research design was exploratory and descriptive, with a thorough theoretical analysis. The researchers used a qualitative research strategy to delve into Islamic banking and finance specifics and to determine a more general perception of the Islamic financial system, *Shariah*, and *Islamic* values in Arab countries. Secondary data sources include books, journals, magazines, research papers, and the Internet. Descriptive research methods gather information about a phenomenon's current state and define "what" in terms of contextual variables or conditions (Key, 1997). In addition, the researchers did online research, interviews with Islamic authorities, fieldwork, and documentary analysis. Qualitative research is a method of conducting systematic empirical studies on meaning. The term systematic refers to studies that are planned, ordered, and published by rules established by members of the qualitative research community. A personal experience-based survey is an empirical survey. Researchers review existing literature to review findings and develop preliminary ideas on research topics.

This research is exploratory to learn more about the Islamic financial system. The information gathered comes from both primary and secondary sources. Respondents include Islamic financial institutions, Islamic banks, nonprofits, and commercial organizations' employees, professionals, and Islamic bankers from Arab countries. The literature review was one of the most crucial tactics in this extensive investigation because phone and VoIP (Voice over Internet Protocol) conversations have become necessary due to regulatory restrictions and security measures during the COVID-19 pandemic. The researchers conducted virtual interviews during the COVID-19 outbreak. Based on the literature review, this study has four significant areas of concern, the Islamic financial system, finance, banking institutions, and the global financial crisis. As a result, the study was analyzed and interpreted using the information gathered by the researchers.

8. RESULTS AND DISCUSSION

After a thorough analysis of the data gathered, the following are the findings of the study:

Islamic Finance

Islamic finance may add hurdles to their understanding and uncertainty about the nature of *Islamic* financial intermediaries. First, the Islamic financial paradigm, theoretical concepts, and practices differ (Moody, 2001). Second, *Islamic* financial institutions must compete with traditional financial intermediaries and adapt to an environment where they do not have access to the same money market products for liquidity management purposes. Third, the *Shariah* institutions of each institution and the general local legal traditions and interpretations, combined with the competitive pressure of the market, shape the activities of each Islamic financial institution. Fourth, *Islamic* financial institutions must comply with traditional financial control regulations and use accounting standards that may not be entirely relevant to their business in most jurisdictions. Fifth, the paradigm is divided into five schools of thought, each represented by a different variation.

El Hawary et al. (2004) provides an interpretation of financial transactions and product types that may or may not be compatible with Shariah. The findings revealed that Forty-eight (48) countries, over two hundred (200) *Islamic* financial institutions (IFIs) operate. Their combined assets exceed $200 billion, with annual growth rates ranging from 12% to 15%. The regulatory regime that governs *Islamic* financial institutions varies significantly between countries. However, several international organizations have been formed to establish standards for strengthening and eventually harmonizing prudential regulations as they apply to Islamic financial institutions. Lack of apparent understanding of the new environment can create a sense of greater risk even if the objective level of risk in the system is unchanged or reduced (Merton, 1995).

A financial setup that operates as per *Shariah* laws and principles is generally termed as Islamic finance. In *Shariah*, the receipt and payment of interest (*riba*), excessive uncertainty (*gharar*), gambling (*maysir*) and such financial activities which can be detrimental to society overall have sternly been barred (Benaissa et al., 2005). *Islamic* finance is one of the most rapidly growing sectors of the global financial system. This paper empirically outlines the pure effect of Islamic finance including *Islamic* banking and Islamic bonds on economic growth in major Muslim countries. Current study has taken up *Islamic* banks' assets and Islamic banks' financing, total value of *sukuk* issued and GDP as measuring proxies.

For the analysis, the Pooled Mean Group-Autoregressive Distributed Lag (PMG-ARDL) framework has been utilized. The outcomes of the study revealed that in the long run, Islamic banks' assets, *Islamic* banks' financing and *Islamic* bonds are significantly correlated with real GDP in Muslim countries (Naz and Gulzar, 2022). *Islamic* finance is no exception. The emergence of *Islamic* finance in the global financial situation poses the same challenges as financial innovation. Consistent with Merton's observations, it is less well understood than traditional finance, so it concerns the inherent risks it poses and its potential for spillover to other financial systems. Middle-income oil exporters' GDP per capita is expected to expand by 3.0%, while oil importers' GDP per capita would grow by 2.4 percent, barely improving living standards over pre-pandemic levels. Assuming these projections come true, 11 out of 17 MENA economies will not be back to pre-pandemic levels by the end of 2022.

Islamic finance has started to grow in international finance across the globe, with some concentration in few countries. Nearly 20% annual growth of Islamic finance in recent years seems to point to its resilience and broad appeal, partly owing to principles that govern Islamic financial activities, including equity, participation, and ownership. In theory, Islamic finance is resilient to shocks because of its emphasis on risk sharing, limits on excessive risk taking, and strong link to real activities. Empirical evidence on the stability of Islamic banks (IBs), however, is so far mixed. While these banks face similar risks as conventional banks (CBs) do, they are also exposed to idiosyncratic risks, necessitating a tailoring of current risk management practices. The macroeconomic policy implications of the rapid expansion of Islamic finance are far reaching and need careful considerations (Hussain et al., 2016).

Islamic Banking

The basic theory of *Islamic* banking declares that the interest is strictly prohibited; all the Islamic banks operate as per this firm belief. This basic principle has guided all the Muslim scholars and theoretical workers to develop a model of *Islamic* banking which differs from conventional banks. Such model holds that nobody can earn profit from others' loss. The modern birth of *Islamic* banking took place in the 1970s in Egypt. Islamic banking has appeared as a novel category of financial intermediators for global financial markets, investors, financiers and entrepreneurs (Kpodar and Imam, 2010). Since its inception, 500 *Islamic* financial institutions have been established so far, including more than 300 *Islamic* banks in 70 nations both Islamic and western nations worldwide (Jamaldeen, 2012).

The countries such as Bahrain, Bangladesh, Jordan, United Kingdom, Iran, Malaysia, Sudan, Pakistan, Saudi Arabia, Singapore and the United Arab Emirates are successfully operating *Islamic* banking. In the last few years, especially after the global financial crises 2008, the world has been witnessed a prominent growth in Islamic banking and finance. It has been evidenced as most viable and sustainable banking system, in which most of the big conventional banks failed to endure their existence. The constant performance of *Islamic* financial institutions has shown the strength and significance to the world.

The Asian Development Bank (ADB) reports that *Islamic* finance, also known as *Shari'ah* compliant financing, is one of the fastest growing segments of the global financial system, growing at a compound annual growth rate of 17% since 2009. As of 2015, the industry's global assets have reached at least $1.9 trillion. *Islamic* finance has reached systemic significance in several Asian nations due to the industry's continued growth, including Brunei, Bangladesh, and Malaysia. Islamic finance has at least a 15% market share in the domestic banking sector. Countries that do not have a predominantly Muslim population are also beginning to open their doors to Islamic finance. The issuance of sovereign Sukuk—*Islamic* trust certificates resembling conventional bonds—by Luxembourg, Hong Kong, China, the United Kingdom, and South Africa were all at least twice oversubscribed, indicating significant demand for *Shari'ah*-compliant financing globally.

The ADB recognizes the potential role of *Islamic* finance in promoting inclusive growth and achieving sustainable development in the region, through funding infrastructure and green and ethical investments, given the demographic composition of its member countries and realizing the region's vast investment needs. In order to help end poverty, combat inequality, and combat climate change, the ADB supports the growth of a well-regulated, stable, and competitive financial sector in Asia and the Pacific that can effectively mobilize funding for sustainable development, strengthen resilience, and expand financial inclusion (Guido, 2020).

Participatory financing schemes, including *Musharakah* and *Mudarabah*, are theoretically claimed to be the ideal modes of *Islamic* financing, but several factors restrain their practice. Because of this, *Islamic* banks consistently steer clear of asset-side participatory financing. However, this trend has recently started changing in Pakistan and Indonesia, where the share of participatory finance has risen significantly in *Islamic* banks' financing portfolios.

The findings lead to a novel posteriori framework demonstrating that the shift toward participatory financing is primarily characterized by increased working capital financing and commodity operations financing via *Musharakah* mode *Islamic* banks. The five factors that have contributed to the growth of funding participatory are the introduction of *Musharakah* varieties, increased applicability, high volume projects, government interventions, and the role of the regulator. The framework can significantly advance understanding of the participation financing implementation theory within *Islamic* banking and related Shariah compliance and regulation (Nouman et al., 2019).

Global Economic Recovery

Policy and regulatory responses worldwide and in Malaysia have focused on ensuring economic resilience, managing financial stability risks, and mitigating social consequences. This is carried out in tandem with the three pandemic phases: containment, stabilization, and recovery. For example, when the crisis began, governments and financial regulators launched sizable stimulus packages and various aid programs to control it and stabilize the economy. The above includes managing supply and demand disruptions, maintaining cash flow, and keeping workers employed.

In Malaysia, the total stimulus package was USD 73.5 billion (RM305 billion), of which the government provided an additional RM 45 billion (Ghaffour, 2020). As a result, several financial institutions have improved their Internet and mobile banking channels to help market SMEs to their customers. In addition, takaful operators and insurers have also increased the digitization of their operations, such as claims processing and customer service, to minimize face-to-face interactions during bookings. The Emerging Market and Developing Economy (EMDE) regions will approach the post-pandemic growth acceleration seen in advanced economies, where average growth in 2022–2023 is projected to be more than one percentage point higher than in 2010–2019. As a result, the pace of recovery will be uneven within regions and, on a per capita basis, may leave behind those in economies that experienced the deepest contractions in 2020, such as tourism-reliant island economies.

4. CONCLUSION

The Islamic concept emphasizes the benefits of taking risks while exemplifying *Shariah* law's fundamental principles of justice, honesty, hoarding avoidance, and escape. The *Islamic* financial system includes insurance, capital formation, capital markets, and other financial intermediaries. It asserts that moral and ethical components within the regulatory system are required for conscientious and effective regulation. The *Islamic* economic system has undergone a significant transformation in the Arab world, paving the way for eventual world unification. Global initiatives aimed at establishing the *Islamic* financial system as a reliable component of the global financial system will aid the growth of the local *Islamic* financial system.

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